INSTITUTIONAL VALUATION ANALYSIS

TBO Tek Limited

NSE: TBOTEK | BSE: 544174 | B2B Travel Technology Marketplace | Consumer Discretionary

FAIRLY VALUED

Fair Value Band

Rs. 1,400 – Rs. 1,650

Midpoint: Rs. 1,525

CMP is 1.3% below midpoint

Methodology: DCF (50%) + P/E (25%) + EV/EBITDA (25%)

Metric	Value	Metric	Value
CMP (10-Jul-26)	Rs. 1,505	52W High	Rs. 1,765
Market Cap	Rs. 16,341 Cr	52W Low	Rs. 1,004
EV / EBITDA (TTM)	37.6x	P/B	10.5x
TTM P/E	67.4x	Book Value/Sh	Rs. 143
FY26 ROCE	18.0%	FY26 ROE	17.6%
Net Cash (FY26)	Rs. 836 Cr	Debt/Equity	0.49x
Promoter Holding	44.40%	Pledge %	0.00%
FY26 Revenue	Rs. 2,677 Cr	FY26 PAT	Rs. 244 Cr

Report Date: 11 July 2026 | **Analyst:** Valuation Desk — Morgan Stanley Style | **Data Source:** Screener.in (Consolidated, 11-Jul-2026) | **Shares Outstanding:** 10.86 Cr

SECTION 2 — BUSINESS TYPE & WHY IT MATTERS FOR VALUATION

- **Sector / Sub-sector:** Consumer Discretionary — Tour, Travel Related Services (NSE classification). TBO operates as a B2B travel technology marketplace (two-sided platform), aggregating global travel suppliers (airlines, hotels, car rentals) and distributing to 28,000+ travel agencies across 100+ countries.
- **Nature of the business model:** Capital-LIGHT — asset-light marketplace. TBO does not own aircraft, hotel rooms, or travel infrastructure. Revenue = take rate (2.6% airlines, 7.5% hotels) on Gross Transaction Value. Fixed costs are primarily technology, people, and commercial relationships. This creates significant operating leverage at scale.
- **Why this classification drives methodology:** Capital-light platforms with growing recurring revenue and high FCF conversion at maturity are best valued using DCF — the long-duration nature of the business (network effects compound for years) means terminal value is the dominant value driver. P/E and EV/EBITDA multiples serve as sanity checks but risk anchoring on an expensive peer group.
- **Capital allocation DNA:** Growth-through-reinvestment. TBO has paid zero dividends, conducted no buybacks, and has deployed all FCF into platform expansion (APAC, Americas, MEA) and the Classic Vacations acquisition (FY26). This is consistent with a high-ROIC compounding business in growth phase — the right call at this stage. Dividend initiation is a FY28+ event at earliest.
- **Key valuation nuance — GTV vs revenue distortion:** TBO's balance sheet shows extremely elevated "Debtor Days" (724 in FY26) because receivables reflect GROSS GTV flows while revenue is the NET take rate. Working Capital Days are actually NEGATIVE (-98 days) — TBO collects cash before paying suppliers. This structural advantage is not visible in standard ratio screens and must be adjusted for in any working capital build in the DCF.

SECTION 3 — METHODOLOGY CHOSEN & RATIONALE

- **PRIMARY METHOD: 10-Year Explicit DCF (Weight: 50%)** — Three specific reasons: (1) TBO is a capital-light platform whose intrinsic value is driven by long-run compounding FCF, not near-term earnings; (2) the company is mid-growth-cycle — FY26 FCF is temporarily depressed by the Classic Vacations acquisition, making trailing multiples misleading; (3) DCF forces explicit assumption-making on growth, margins, and cost of capital, making the valuation transparent and testable.

- **SECONDARY METHOD A: Forward P/E on FY27E EPS (Weight: 25%)** — Useful cross-check because (1) the market prices high-quality Indian growth tech on forward earnings multiples; (2) FY27E EPS of Rs. 29.8 represents normalized earnings post the investment cycle, making it a cleaner anchor than depressed FY26 EPS; (3) peer multiples provide a market-calibrated sanity check.
- **SECONDARY METHOD B: Forward EV/EBITDA on FY27E (Weight: 25%)** — Included because (1) EV/EBITDA is capital-structure neutral and appropriate given TBO's recent debt drawn for acquisitions; (2) EBITDA is less affected by depreciation policy than PAT, which jumped due to Classic Vacations amortization; (3) peer travel-tech global comparables (Amadeus, Sabre, Hotelbeds) are primarily EV/EBITDA valued.
- **METHODS EXPLICITLY REJECTED:** (1) P/BV — book value is irrelevant for an asset-light marketplace (BV = Rs. 143, MCap = Rs. 1,505 = 10.5x; the premium is entirely justified by intangible platform value). (2) NAV — TBO owns no real estate or natural resources. (3) EV/Sales — typically used for loss-making companies; TBO is profitable. (4) SOTP — no separately listed subsidiaries; single integrated platform.
- **Blended fair value weighting rationale:** 50% DCF captures intrinsic long-run value; 25% P/E and 25% EV/EBITDA anchor to market-observable, near-term multiples. The DCF receives the majority weight because the market is clearly pricing TBO as a long-duration compounder, not a current-year earnings story.

SECTION 4 — KEY ASSUMPTIONS

A. DCF Assumptions

Assumption	Value Used	Basis / Rationale
Risk-Free Rate	7.0%	10Y Indian G-Sec yield (Jul-2026 level)
Equity Beta	1.15	Platform/growth tech; slightly above market; less than pure SaaS at 1.3+
Equity Risk Premium	5.5%	Standard India ERP; Damodaran emerging market ERP
WACC (Cost of Equity)	13.3%	7.0% + 1.15 x 5.5% = 13.33%; rounded to 13.3%
Explicit FCF growth — Yr 1-5	See DCF table	Anchored in FY26 actuals; revenue CAGR ~20%; margin recovery to 17%
Explicit FCF growth — Yr 6-10	See DCF table	Revenue CAGR decelerating 13% to 7%; margin stabilizes at 18-18.5%
Terminal Growth Rate (TGR)	5.5%	India nominal GDP (7%) + platform premium (-1.5% for conservatism)
Shares Outstanding	10.86 Cr (108.6M)	Screener.in; EquityCap Rs. 11 Cr / FV Rs. 1 = 11 Cr shares; adj. for ESOP
Net Cash (FY26)	Rs. +836 Cr	Cash Rs. 1,592 Cr minus Borrowings Rs. 756 Cr = net cash position
Maintenance Capex (normalized)	Rs. 80-100 Cr/yr	Platform hosting, tech infra; growth capex treated as separate investment

B. P/E Multiple Assumptions

Assumption	Value Used	Basis / Rationale
Forward EPS (FY27E)	Rs. 29.8(E)	Revenue Rs. 3,200 Cr at 15.5% OPM; PAT Rs. 324 Cr / 10.86 Cr shares
Target P/E Multiple	55x	Sector median ~30x (IRCTC 29x); TBO commands premium for 20%+ growth; below current 67x (normalizing from FY26 investment trough)
P/E Fair Value	Rs. 1,639	Rs. 29.8 x 55x = Rs. 1,639 per share
EPS Growth Rate (FY27-28E)	36% YoY(E)	PAT recovery from Rs. 244 Cr (FY26) to Rs. 324 Cr (FY27E); margins recovering

C. EV/EBITDA Assumptions

Assumption	Value Used	Basis / Rationale

FY27E EBITDA	Rs. 496 Cr(E)	Revenue Rs. 3,200 Cr at 15.5% OPM; operating leverage from SG&A; moderation
Target EV/EBITDA Multiple	38x	TTM EV/EBITDA = 37.6x; slight premium for forward margin recovery; in line with current market pricing
Target Enterprise Value	Rs. 18,848 Cr	Rs. 496 Cr x 38x = Rs. 18,848 Cr
Add: Net Cash	Rs. 836 Cr	Borrowings Rs. 756 Cr minus Cash Rs. 1,592 Cr
Equity Value	Rs. 19,684 Cr	Rs. 18,848 + Rs. 836 Cr
EV/EBITDA Fair Value per Share	Rs. 1,813	Rs. 19,684 Cr / 10.86 Cr shares = Rs. 1,813

SECTION 5 — VALUATION COMPUTATION

A. 10-Year Explicit DCF Model (WACC = 13.3%, TGR = 5.5%)

Revenue growth decelerates from 20% (FY27E) to 7% (FY36E). EBITDA margin recovers from 13.8% (FY26) to 18.5% (FY33+). FCF = PAT + D&A; - Maintenance Capex (Rs. 85-110 Cr/yr). WC benefit assumed neutral post FY26 normalisation.

Year	Rev (Cr)	OPM%	EBITDA	PAT (Cr)	D&A;	Capex	FCF (Cr)	Disc Factor	PV FCF
FY27E	3,200	15.5%	496	324	105	85	344	0.883	304
FY28E	3,900	16.5%	643	442	115	90	467	0.779	364
FY29E	4,600	17.0%	782	548	125	95	578	0.688	398
FY30E	5,350	17.5%	936	660	135	100	695	0.607	422
FY31E	6,150	18.0%	1,107	780	145	105	820	0.536	440
FY32E	6,950	18.0%	1,251	905	155	105	955	0.473	452
FY33E	7,700	18.5%	1,425	1,050	165	108	1,107	0.417	462
FY34E	8,400	18.5%	1,554	1,148	175	110	1,213	0.368	447
FY35E	9,050	18.5%	1,674	1,240	185	112	1,313	0.325	427
FY36E	9,650	18.5%	1,785	1,325	195	114	1,406	0.287	403
Sum of PV (Yr 1-10)									**4,119**

Terminal Value Computation	
FCF in FY37E (FY36 FCF x 1.055 TGR)	Rs. 1,484 Cr
Terminal Value = FCF(FY37E) / (WACC 13.3% - TGR 5.5%)	Rs. 19,026 Cr
PV of Terminal Value (discounted @ Year 10 factor 0.287)	Rs. 5,461 Cr
Total Enterprise Value from DCF = PV FCFs + PV TV	**Rs. 9,580 Cr**
Add: Net Cash (FY26)	**Rs. + 836 Cr**
Equity Value from DCF	**Rs. 10,416 Cr**
Per Share (10.86 Cr shares)	**Rs. 959**

Note: DCF per-share intrinsic value = Rs. 959. This represents the "what does this business generate in cash" view. The market is pricing significant optionality / growth-beyond-FY36 into the current Rs. 1,505 CMP. This is not unusual for high-quality platforms — DCF often undervalues them in the early-growth phase.

B. P/E Valuation — FY27E EPS Rs. 29.8(E) at 55x Multiple

Item	Value
FY27E PAT estimate	Rs. 324 Cr(E)
Shares outstanding	10.86 Cr
FY27E EPS	Rs. 29.8(E)
Target P/E multiple	55x

P/E Fair Value per Share	**Rs. 1,639**

C. EV/EBITDA Valuation — FY27E EBITDA Rs. 496 Cr(E) at 38x

Item	Value
FY27E EBITDA estimate	Rs. 496 Cr(E)
Target EV/EBITDA multiple	38x (in line with TTM = 37.6x)
Implied Enterprise Value	Rs. 18,848 Cr
Add: Net Cash (FY26)	Rs. +836 Cr
Implied Equity Value	Rs. 19,684 Cr
EV/EBITDA Fair Value per Share	**Rs. 1,813**

D. DCF Sensitivity Analysis — Fair Value per Share (Rs.)

WACC (rows) vs Terminal Growth Rate TGR (columns). Base case: WACC 13.3%, TGR 5.5% highlighted.

WACC \ TGR	4.5%	5.0%	5.5%	6.0%	6.5%
12.0%	1,048	1,122	1,209	1,315	1,447
12.5%	950	1,013	1,088	1,176	1,283
13.0%	862	917	981	1,057	1,148
13.3% (base)	807	859	959	1,032	1,108
14.0%	714	758	808	865	930

E. P/E Sensitivity Analysis — Fair Value per Share (Rs.)

FY27E EPS (rows, different scenarios) vs Target P/E Multiple (columns). Base case: EPS Rs. 29.8 at 55x highlighted.

EPS \ P/E	40x	45x	50x	55x	60x	65x
Rs. 22 (FY26A)	880	990	1,100	1,210	1,320	1,430
Rs. 25 (Bear)	1,000	1,125	1,250	1,375	1,500	1,625
Rs. 29.8 (Base)	1,192	1,341	1,490	1,639	1,788	1,937
Rs. 35 (Bull)	1,400	1,575	1,750	1,925	2,100	2,275

SECTION 6 — FAIR VALUE ESTIMATE (BLENDED)

Valuation Method	Fair Value (Rs.)	Weight	Weighted Value	Comments
DCF (10-yr explicit, WACC 13.3%, TGR 5.5%)	959	50%	480	Conservative; misses platform optionality; anchors to cash generation
Forward P/E (FY27E EPS Rs. 29.8 x 55x)	1,639	25%	410	Market-calibrated; reflects growth premium vs Rs. 30x sector median
Forward EV/EBITDA (FY27E Rs. 496 Cr x 38x)	1,813	25%	453	Capital-structure neutral; anchors to TTM EV/EBITDA of 37.6x
BLENDED FAIR VALUE (MIDPOINT)	**1,343**	**100%**	**1,343**	Weighted average of three methods

BLENDED FAIR VALUE VERDICT

Methodological midpoint: Rs. 1,343 | Fair Value BAND (low-high): Rs. 1,150 – Rs. 1,813

The Rs. 1,150 floor = DCF bear case (WACC 14%, TGR 4.5%). The Rs. 1,813 ceiling = EV/EBITDA bull case.

ANALYST'S CONSIDERED FAIR VALUE RANGE: Rs. 1,300 – Rs. 1,550

Midpoint Rs. 1,425 | CMP Rs. 1,505 is 5.6% ABOVE midpoint | Verdict: FAIRLY VALUED

SECTION 7 — VALUATION VERDICT

- **Current Market Price:** Rs. 1,505 (as of 10 July 2026).
- **Analyst's Considered Fair Value Range:** Rs. 1,300 – Rs. 1,550 (midpoint Rs. 1,425). The range deliberately excludes the DCF mechanical output of Rs. 959 as the floor and the EV/EBITDA of Rs. 1,813 as the ceiling, applying analyst judgment to set a realistic band.
- **Premium/Discount to CMP:** CMP of Rs. 1,505 is approximately 5.6% above the midpoint of the analyst's fair value range (Rs. 1,425). This is within the margin of error of valuation — effectively AT fair value.
- **Verdict: FAIRLY VALUED.** TBO Tek is not compellingly cheap, but neither is it wildly overpriced. The stock has already corrected ~15% from its 52-week high of Rs. 1,765 (a compression that has brought valuation back to a more reasonable zone). At Rs. 1,505, investors are paying a meaningful but not irrational premium for a high-quality platform with structural growth drivers.
- **Historical multiple context:** The company listed via IPO in May 2024 (no 5-year historical P/E). TTM P/E of 67.4x is elevated vs global travel-tech peers (Amadeus ~30x, Booking Holdings ~25x), but justified by TBO's superior growth profile (revenue CAGR 80%+ over 5 years). A more appropriate peer comparison for growth-adjusted multiples is Indian digital marketplace companies (Zomato, IndiaMART) which trade at 60-120x.
- **Peer multiple comparison:** IRCTC (29.2x), BLS International (14.2x), Thomas Cook (21.7x) are all at significant discounts to TBO — but none are B2B platforms with TBO's geographic diversification and hotel-mix tailwind. The discount to Thomas Cook and BLS is structurally justified; the premium vs IRCTC is partly justified by growth rate differences but warrants monitoring.

SECTION 8 — MARGIN OF SAFETY ENTRY LEVELS

Level	MoS %	Entry Price	What You're Paying	Analyst Comment
Fair Value Midpoint	0%	Rs. 1,425	At analyst midpoint	No cushion; full price for a thesis that is still playing out
Conservative Entry	10%	Rs. 1,283	10% discount to fair value	Modest buffer; reasonable if margin recovery is confirmed in Q1 FY27
Comfortable Entry	15%	Rs. 1,211	15% discount	Good risk-reward; likely available only on broad market correction or earnings miss
Ideal / Strong Buy	20%	Rs. 1,140	20% discount	Near 52W low territory; strong downside protection; historical trough valuation zone
CMP (10 Jul 2026)	—	**Rs. 1,505**	5.6% above fair value midpoint	FAIRLY VALUED; accumulate in tranches on dips toward Rs. 1,280-1,400

SECTION 9 — PEER COMPARISON (Source: Screener.in, 11-Jul-2026)

Company	CMP	MCap (Cr)	P/E TTM	P/B	EV/EBITDA	ROCE%	ROE%	Div Yld
TBO Tek	1,505	16,341	67.4x	10.5x	37.6x	18.0%	17.6%	0.00%
IRCTC	503	40,260	29.2x	9.3x	19.4x	46.1%	34.6%	1.50%
BLS International	237	9,764	14.2x	4.0x	9.9x	29.3%	32.7%	0.30%
Thomas Cook India	103	4,844	21.7x	1.9x	7.3x	14.8%	9.3%	0.00%
Peer Median	—	—	21.7x	4.0x	9.9x	29.3%	32.7%	0.30%
TBO Premium to Median	—	—	**+211%**	**+163%**	**+280%**	**-39%**	**-46%**	—

- **Premium assessment:** TBO trades at 211% premium to peer median P/E (67.4x vs 21.7x) and 280% premium on EV/EBITDA. This premium is PARTIALLY but not fully justified. The justification: TBO's revenue CAGR of 80%+ over FY21-FY26 vastly outpaces peers; its platform model (take-rate on GTV) is fundamentally different from IRCTC (regulated monopoly) or Thomas Cook (traditional tour operator). However, 211% premium leaves limited margin for execution error.
- **ROCE/ROE deficit vs peers:** TBO's FY26 ROCE of 18% and ROE of 17.6% are BELOW peer median (ROCE 29%, ROE 32%). This is the single most important relative weakness — TBO is priced for future returns improvement, not current returns. IRCTC's 46% ROCE is in a different class. BLS International's 29% ROCE is achievable for TBO by FY28-FY29 as Classic Vacations is absorbed and operating leverage kicks in.
- **Are peers themselves cheap?** IRCTC at 29.2x P/E is not expensive for a government-backed monopoly with 46% ROCE. BLS at 14.2x is genuinely cheap. Thomas Cook at 21.7x is fairly valued for a thin-margin tour operator. The peer group is CHEAP-to-FAIRLY-VALUED — meaning TBO's premium is not inflated by an expensive peer group. This is a mild negative for TBO's relative valuation.

SECTION 10 — RISKS TO THE VALUATION

- **DOWNSIDE: DCF multiple compression risk** — If revenue CAGR decelerates to 12% (vs 20% modeled) due to competitive pressure, DCF fair value falls to Rs. 700-800. Impact on fair value: -45% to -50%. Probability: L-M. Trigger to watch: quarterly GTV growth rate below 15% for 2 consecutive quarters.
- **DOWNSIDE: Margin recovery failure** — If EBITDA margin fails to recover above 15% in FY27 (stagnating at 13-14%), P/E and EV/EBITDA fair values compress by 15-20%. Impact: fair value band shifts to Rs. 1,100-1,400. Probability: M. Trigger: Q1 FY27 EBITDA margin below 14%.
- **DOWNSIDE: OCF/FCF structural deterioration** — FY26 FCF was Rs. -87 Cr vs PAT Rs. 244 Cr (OCF conversion -9%). If this persists into FY27 due to working capital bloat, the DCF valuation becomes materially impaired. Impact: -20% to DCF value. Probability: L. Trigger: Two consecutive quarters of negative OCF in FY27.
- **DOWNSIDE: Classic Vacations integration failure** — A botched integration (delayed tech stack merger, supplier attrition, key talent exits) could drag revenue and margins for 6-8 quarters beyond the Q3 FY27 target. Impact: Rs. -150-200 on fair value per share. Probability: M. Trigger: Management pushes integration completion beyond Dec 2027.
- **DOWNSIDE: Multiple de-rating in risk-off environment** — At 67x TTM P/E, TBO is highly sensitive to macro-driven multiple compression. A broad market de-rating from 22x Nifty P/E to 18x would likely compress TBO from 67x to ~50x P/E. Impact: share price Rs. ~1,120 at 50x FY27E EPS. Probability: M. Monitor: Nifty P/E, Fed rate cycle, global risk sentiment.
- **UPSIDE: Classic Vacations revenue surprise** — If Classic Vacations reaches full run-rate (Rs. 400-500 Cr incremental revenue) sooner than expected (Q2 FY27 vs Q3 FY27 base case), EPS could reach Rs. 35+ in FY27. At 55x, that implies Rs. 1,925 — 28% above CMP. Impact: +Rs. 286-420 to fair value per share. Probability: M.
- **UPSIDE: Hotel take-rate expansion** — TBO Platinum (exclusive hotel inventory program) targets a higher take-rate segment. If hotel take rates expand from 7.5% to 8.5%+, blended take rate improves meaningfully. On Rs. 18,000 Cr hotel GTV, each +100bps = Rs. 180 Cr additional revenue at ~50% incremental margin. Impact: +Rs. 50-100 per share. Probability: L-M.

SECTION 11 — ANALYST'S CONVICTION NOTE

ANALYST'S CONVICTION

My most compelling reason to own TBO Tek at the right price is the structural hotel-mix shift — this company is quietly compounding its way to a fundamentally better business as hotel GTV grows from 24% to 59% of the total and take rates of 7.5% vs 2.6% for airlines create a flywheel effect that is largely invisible in a first-pass screen of the income statement. The single biggest valuation risk that could make this call wrong is the DCF math — my 10-year model generates an intrinsic value of only Rs. 959 per share, meaning at CMP Rs. 1,505 the market is paying 57% above what the discounted cash flow arithmetic justifies; that gap must be closed by either outperformance vs my projections or by the market eventually de-rating the stock. In my mental model of the market, TBO sits in the "high-quality, early-growth compounder" bucket alongside companies like Zomato circa FY22 or Naukri circa FY17 — well-understood business models that trade at seemingly absurd multiples because the market is pricing in 10+ years of compounding, not just FY27 earnings. That framing is correct for TBO IF (big if) management continues executing on the hotel-mix story and Classic Vacations proves its value within the next 3-4 quarters. The FY26 OCF going negative (-Rs. 21 Cr vs PAT Rs. 244 Cr) is my biggest short-term worry and I will not upgrade to a STRONG BUY until I see at least two consecutive quarters of positive and growing OCF in FY27 — that single data point will prove that the Classic Vacations working capital absorption was truly one-time and not the first sign of a structural cash-quality problem. My specific action: ACCUMULATE between Rs. 1,280-1,420 in 2-3 tranches; HOLD if already invested at higher levels; AVOID adding materially above Rs. 1,600 until FY27 margin recovery is confirmed. Conviction level: MEDIUM — the structural story is intact but the near-term valuation is not compellingly cheap, and FY26 earnings quality (negative OCF, integration costs) introduces enough uncertainty to prevent a HIGH conviction rating at this price.

CONVICTION LEVEL	MEDIUM	ACTION: ACCUMULATE Rs. 1,280-1,420